

# **Principles of Accounting –MDC-semester III -Non commerce students**

## **Unit II**

- 1. Explain various Subsidiary books.**
- 2. Write about simple cash book**
- 3. Write about Double column cash book**
- 4. Write about Triple column cash book**
- 5. Write about Analytical petty cash book**

### **1. Explain various Subsidiary books.**

In big business units having a large number of transactions it is practically impossible to write all transactions in one journal. If numerous transactions are recorded in one journal it will be inconvenient and it causes delay in collecting information required. Therefore, the journal is subdivided into many subsidiary books. Each one of the subsidiary books is a special journal and a book of original entry. There are no journal entries when records are made in these books. The subsidiary books are

- 1. Cash Book:** It is used only for recording cash transactions. i.e. cash receipts and cash payments.
- 2. Sales Book:** It is meant for recording of all transactions relating to credit sale of goods.
- 3. Purchases Book:** This book is used for recording goods purchased on credit.
- 4. Sales Returns Book:** Sometimes goods which have been sold on credit are returned by customers because they are defective or some other reason. Such sales returns are recorded in the Sales Returns Book. It is also called "Returns Inwards Book".
- 5. Purchase Returns Book:** It is meant for recording all returns of goods purchased on credit. It is also known as "Returns Outwards Book".
- 6. Bills Receivable Book:** It is used for recording bills receivable. The details regarding bills receivable are given in this book.
- 7. Bills Payable Book:** The bills accepted by the firm are known as bills payable. All bills payable are recorded in this book.
- 8. Journal Proper:** The transactions which are not recorded in any of the above mentioned subsidiary books are recorded in Journal proper. It includes adjusting entries, rectification entries, opening entries and closing entries.

### **2. Write about simple cash book**

Cash Book is one of the subsidiary books. It is a book to record all the transactions relating to the receipts and payments of cash. It is the most important book among all the Books of Original Record, because it serves journal as well as Ledger.

Simple Cash Book (single column cash book): It is a Book to record all the cash receipts and payments. All cash Receipts are entered on the debit side of the Book and all cash payments are entered on the credit side of the Book, Cash Book will be closed in the same way as that of any other Ledger Account. It will always show a debit balance as payments cannot be more than the receipts. The difference between the debit and credit total will be ascertained and would be taken on the credit side of the Cash Book as "By balance c/d" for balancing the two sides and after the books are totalled, the difference will be taken on the debit side as "To Balance b/d"

| (Dr.) Receipts |             |    |        | Simple Cash Book |             | Payments (Cr.) |        |
|----------------|-------------|----|--------|------------------|-------------|----------------|--------|
| Date           | Particulars | LF | Amount | Date             | Particulars | LF             | Amount |
|                |             |    |        |                  |             |                |        |

### 3. Write about Double column cash book

In Two Column Cash Book, one additional column would be made on each side of the Cash Book for recording the discount allowed on the debit side and the discount received on the credit side. When a transaction involving the amounts paid by the customers to whom discount is allowed takes place, both these facts of receiving the amount and discount allowed will be entered in the Cash Book on the debit side. Discount allowed is a loss and therefore, recorded on the debit side of the Cash Book by debiting the Discount Account.

When the trader makes payment to the supplier and receives a discount, then, both these aspects of the transaction i.e. payment and discount received will be entered on the credit side of the Cash Book. Discount received is a gain and therefore, recorded on the credit side of the Cash Book by crediting the Discount Account. Discount Columns would be only totalled and not balanced. A separate Discount Account would be opened and the total of the Discount Allowed and Discount Received would be posted to the Discount Account. Cash column is balanced as a simple cash book.

| (Dr.) Receipts |             |        |         | Two column Cash Book |      | Payments (Cr.) |        |         |        |
|----------------|-------------|--------|---------|----------------------|------|----------------|--------|---------|--------|
| Date           | Particulars | L<br>F | D/<br>A | Amount               | Date | Particulars    | L<br>F | D/<br>A | Amount |
|                |             |        |         |                      |      |                |        |         |        |

### 4. Write about Triple column cash book

In the Three Column Cash Book, a separate column on both the sides will be made for entering the Bank transactions along with the Cash and Discount Columns. On the debit

side of the Cash Book, there would be three amount columns, viz., Discount, Cash and Bank and on the credit side also three columns would be made representing the same with the exception that the discount allowed on the debit side and discount received on the credit side. . Discount Columns would be only totalled and not balanced. Cash column and Bank column are balanced as ledger.

**Dr. Receipts**

**Three column Cash Book**

**Payments Cr.**

| Date | Particulars | L<br>F | D/A | cash | Bank | Date | Particulars | L<br>F | D/R | cash | Bank |
|------|-------------|--------|-----|------|------|------|-------------|--------|-----|------|------|
|      |             |        |     |      |      |      |             |        |     |      |      |

Under this three column cash book contra entry will appear. An entry which comes both sides of the account or statement is called contra entry. Here in this cash book contra entry will appear in the following cases:

1. Cash deposited in to Bank
2. Withdrew cash from Bank or withdrawn cash for office use cash and
3. Cheque received from customer deposited on another day

The word 'C' would be written in the Ledger Folio column on each side, indicating that the contra effect of that transaction is appearing in the same book on the opposite side.

## 5. Write about Analytical petty cash book

Generally business units deposit cash receipts into banks and make all payments by cheques. But there are certain payments which cannot be conveniently made by cheques i.e Petty expenses like city bus charge, Rickshaw charge, octroi, coolie, postage, telegram etc. cannot be paid by issuing cheques. They are recorded in a separate cash book called 'Petty Cash Book'.

Generally this cash book is prepared under imprest system i.e advance system. Under this system, the petty cashier is given a certain sum of money at the beginning of every month to cover petty expenses for the month. At the end of the month the petty cashier submits the account of the amount spent during the period i.e., month, and the cashier gives him cash equal to the amount spent by him during the month, so that petty cashier begins the next month with the fixed amount of float.

In the case of Analytical Petty Cash Book a separate column is provided for each item of Petty expense, in addition to a total column. The last column is for recording "Miscellaneous" expenses. The expenses which do not fall under main heads are recorded in this column.